3 a

In our contemporary society, the theory of comparative advantage helps countries specialize and trade effectively. Comparative advantage refers to when a country can produce a good/service at a lower production cost in comparison to another country. This differs from the theory of absolute advantage, as absolute advantage is when a country can produce the same quantity of goods/services than another country, with fewer resources. Although comparative advantage is helpful for countries when specializing in trade of certain goods & services, there are several limitations to this approach.

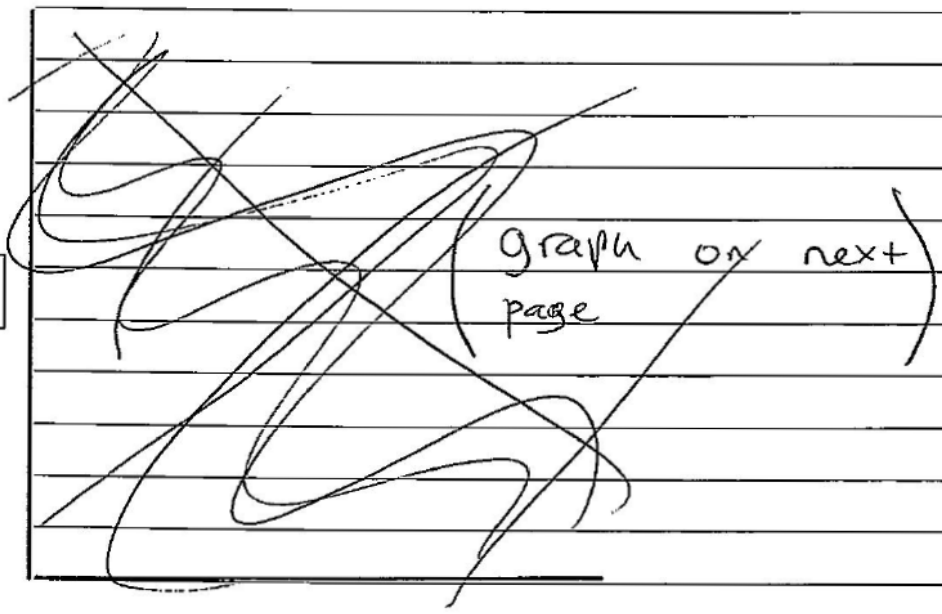
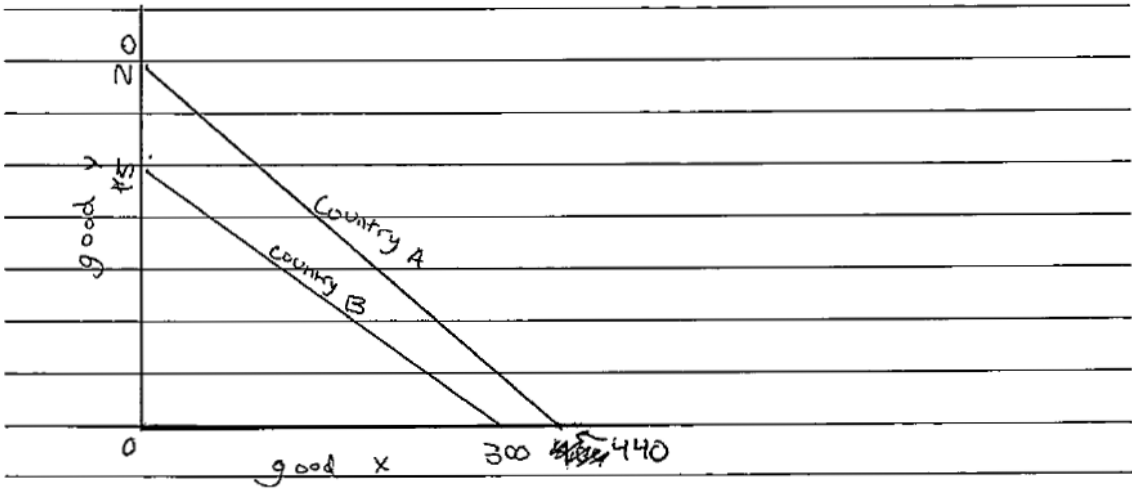


Diagram 1



The above diagram (diagram 1) demonstrates a production possibility frontier (PPF) depicting the comparative advantage of good x and good y for given countries A & B. As shown Country B only has to give up 20 units of good y to produce good x, whereas Country A has to give up 22 units of good y to produce good x. Additionally, Country B has to give up $\frac{1}{20}$ units of good x to produce good y, whereas Country A has to give up $\frac{1}{12}$ of good x to produce good y. This demonstrates how country B has a comparative advantage over Country A for good x and y, as they are producing them with lower costs of production Ceteris paribus.

Although this information can be useful for countries to specialize in the production of certain goods, there are many limitations to this approach. Firstly, as the theory of comparative advantage assumes all stakeholders in the economy have perfect information. This is unrealistic as consumers are not always aware of the change of price of products, the quality of products and potential and/or future government intervention.

Additionally, the theory of comparative advantage does not take into account exchange rates. Due to the fact exchange rates can affect a country and firm's cost of production, the comparative advantage eliminates this factor; hence affecting the true comparative advantage of a country.

Similarly, the theory of comparative advantage does not take into account price changes due to forms of protectionism, like quotas & tariffs. Such forms of protectionism can change the cost of production to produce certain goods, Hence, it can be said the primary limitation of comparative advantage is that the theory assumes the country operates in a free market.

Lastly, another limitation of comparative advantage is that it does not take into account transport costs for the good/services. As transport costs play an important role in the total costs from the production of a good, to when the good reaches the buyer, transport costs would be an extra cost that is not considered when looking at a country's comparative advantage.

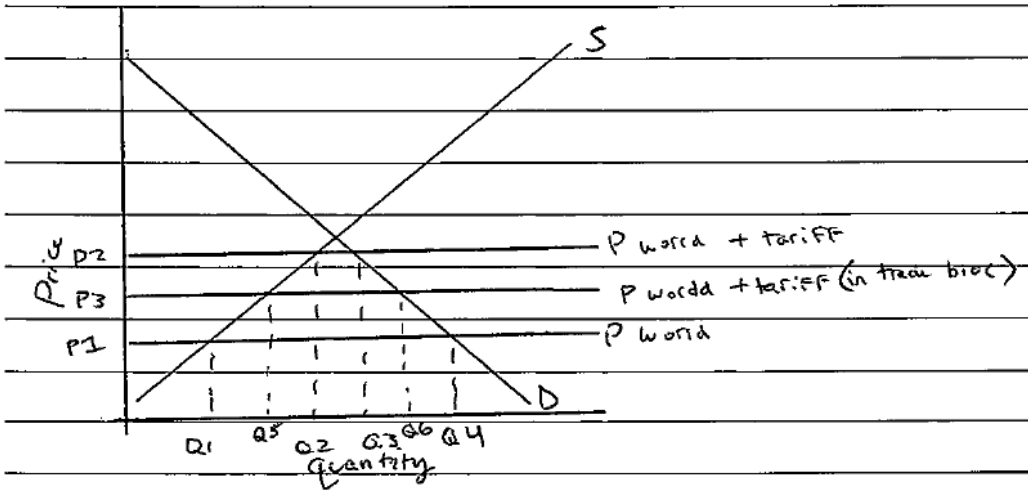
Although comparative advantage can be a useful indicator for countries to specialize in the production of certain goods & services, there are many limitations that countries must or should consider when making decisions in the specialization and trade of certain goods & services.

3 b

Nowadays there are many decisions countries must make when focusing on the topic of trade. Trading blocks refer to when selected countries sign an agreement to lower or gradually reduce forms of protectionism between member countries, whilst still implementing protectionism measures in non member countries. There are several forms of trading blocs, however a common form of trading blocs is FTA's, otherwise known as Free trade agreements. There are many disadvantages & disadvantages for a country of being a member of a trading bloc, Hence, this essay will analyse a contemporary example of a trading bloc, Mercosur, in response to the question.

(graph on next page)

Diagram 2



The above diagram (diagram 2) demonstrates a country's economy with a supply and demand diagram with The protectionism measure of a tariff, and the reduced tariff due to a trading bloc. Initially, in a free market, imports are (Q1 - Q4), However, the imposition of a tariff has put a tax on imports, thus demand for imports decrease, and now lie at (Q2-Q3) However, due to the fact that the given country is in a member of a trading bloc, the tariff has been reduced from P world + tariff, to P world + tariff (in trade bloc). Thus quantity of imports are increased to (Q5-Q6) as the tax on imports has decreased, causing an increase in demand for imports.

Consumers in the trading bloc member country will highly benefit from this, as protectionism measures are lower, and in this case will reduce their tax on imports, hence imports are cheaper.

Foreign producer (both Foreign & domestic) will benefit from their country being in a trading bloc as the protectionism measures to export, (seen in quotas) or import will be reduced and thus will have lower costs of production, and/or less limits to the amount of goods they can export. It can be said that this will promote more competition, as lower prices for consumer will mean producers will have to be more efficient in the production process, to match the responsiveness in demand.

Government will benefit and be negatively impacted in different ways. As trading blocs reduce protectionism measures, this means goverment will collect less tax revenue that can be used to help/improve the public sector. However, governments will benefit as they will promote trade creation and potentially have a better and long lasting relationships with such members of the trading bloc.

Although trading blocs offer numerous advantages, there are still limitations and disadvantages that must be considered, when a country decides to join a particular trading bloc. One primary disadvantage, is that when a country signs an agreement to be a member of a trading bloc, they are subject to the bloc's conditions and thus have less power, in other words decreased Sovereignty. Additionally they will have a reliance on the low protectionism measures of the trading bloc, which they do not have with non-member states.

A contemporary example of a trading bloc is Mercosur. Mercosur is a trading bloc in South America that consists of Argentina, Brazil, Paraguay, Uruguay to name a few. They function as a Free trade agreement trading bloc (FTA). Such countries are subject to low % and/or no protectionism measures as they are unified due to their agreement.

Although Trading bloc's offer many advantages for Countries, in terms of trade, the disadvantages must still be considered..